

A large European Union flag is waving in the foreground, with a modern, curved glass building in the background. The scene is set during sunset or sunrise, with a warm, golden light illuminating the flag and the building. The flag is blue with twelve yellow stars arranged in a circle. The building has a distinctive curved facade with many windows.

TECH & POLICY

THE EU AI ACT IS NOW IN FULL EFFECT.

Europe just enacted the world's strictest artificial intelligence laws. Here is exactly what happens next.

A decorative horizontal line consisting of a solid white segment on the left, followed by several dashed grey segments, and ending with a solid white segment on the right.



UNACCEPTABLE

Total ban. This includes social scoring systems, biometric categorisation, and cognitive behavioral manipulation.



HIGH RISK

Strict obligations. Covers AI used in critical infrastructure, employment, law enforcement, and medical devices.



LIMITED RISK

Transparency rules. Users must be aware they are interacting with AI

THE COST OF NON-COMPLIANCE

7%

GLOBAL TURNOVER

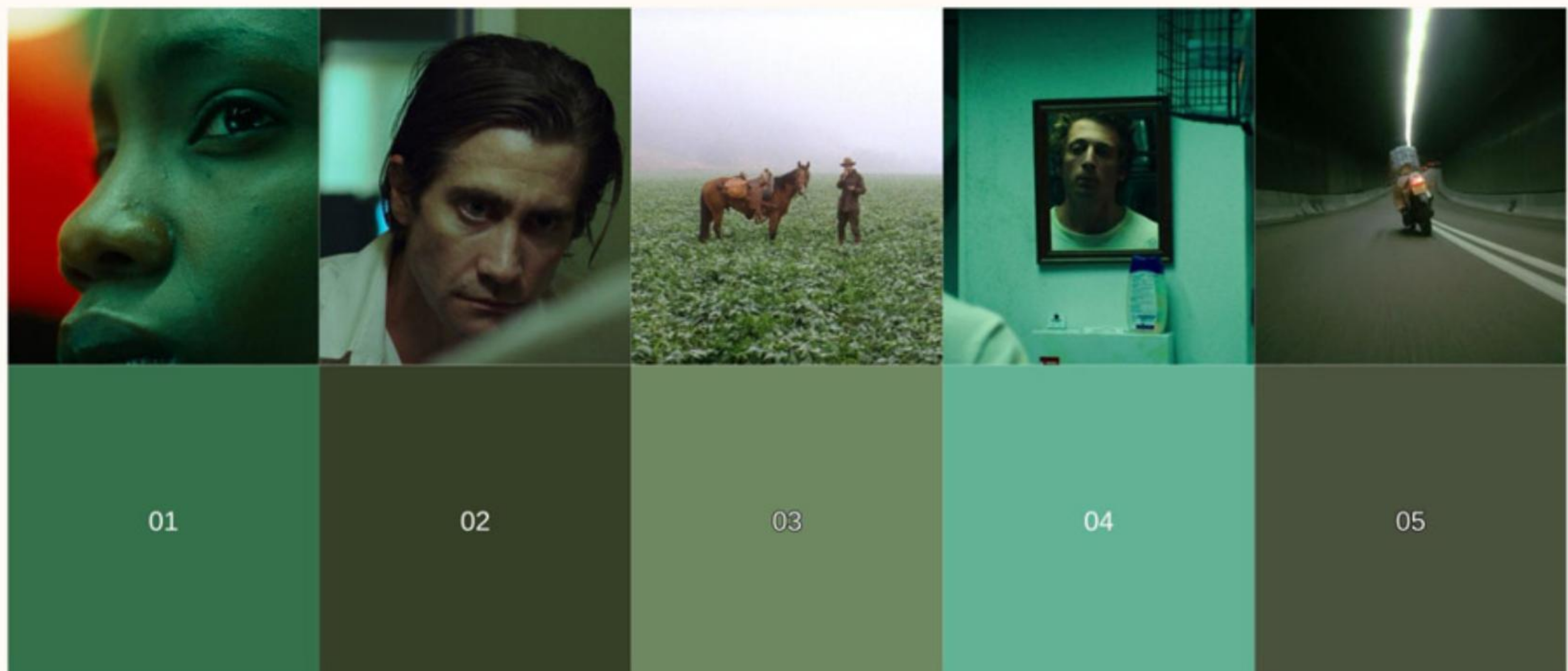
The EU is not playing games. Fines for violating banned AI practices can reach up to €35 million or 7% of a company's total worldwide annual turnover.

For Big Tech giants, a single infraction could mean billions in penalties.



THE FOUNDATION MODEL BURDEN

MOVIE COLOR PALETTES: GREEN



Foundational models (like GPT-4) that pose "systemic risks" face immense scrutiny.

Providers must maintain extensive technical documentation, comply with copyright law, and report serious incidents directly to Brussels.

THE MARKET FALLOUT

THE WINNERS

European citizens gain unprecedented data rights. Consulting firms and compliance auditors are seeing a massive boom in business.

THE LOSERS

European AI startups fear they cannot afford the compliance costs, potentially causing a "brain drain" to the US.

THE IMPLEMENTATION TIMELINE



Right Now: Prohibited AI systems must be shut down entirely across all member states.



By Mid-2027: Rules for General Purpose AI models become strictly enforceable.



By 2029: Obligations for high-risk systems built into regulated products take full effect.

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